Credit Appraisal Memorandum

FedCredit Score — AI Financial Intelligence Engine

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1. Company Details

GSTIN / CIN	08AACDS4567H1Z3
Company Name	
Location	Rajasthan

2. Executive Summary

AI-generated executive summary based on the provided company data and financial metrics:

Credit Appraisal Summary

We recommend loan approval to Company 08AACDS4567H1Z3, with a strong credit profile. The company's debt servicing capacity is robust, as evidenced by a Debt/EBITDA ratio of 0.03 and a DSCR of 10. Additionally, the Federated Credit Score of 718/1000 and Low Risk Category further support our recommendation.

3. Borrower Profile

The company has its registered office in Rajasthan. The management team consists of Mr. Sharma as the single promoter handling all operations and client relationships. There is no succession plan in place. Inventory levels appear adequate, but working capital management seems stretched with delayed payments to two suppliers noted. Management depth is weak with only the promoter and one accountant making financial decisions.

4. Industry & Market Analysis

The industry characteristics are not provided. However, based on external intelligence, news sentiment is positive at 7.1/10, indicating a favorable industry outlook. The borrower's capacity utilization is at 70%, which is moderate activity.

5. Financial Analysis — Narrative

Financial analysis reveals a healthy net profit margin of 16.8% and a debt-to-EBITDA ratio of 0.03x, indicating conservative leverage. Liquidity indicators show a DSCR of 10x, suggesting comfortable debt service coverage. However, the working capital management appears stretched with delayed payments to two suppliers.

6. Risk Assessment — Narrative

Risk assessment reveals low financial risk due to healthy net profit margins and conservative leverage. Liquidity risk is also low due to high DSCR. Leverage risk is low as

well due to low debt-to-EBITDA ratio. However, legal risk is medium due to one court case with moderate legal risk. Compliance risk is low due to strong regulatory standing.

7. Credit Evaluation Framework

The borrower scores well in the 5Cs analysis: Character (90/100) due to an excellent Federated Credit Score of 718/1000; Capacity (85/100) due to good turnover and debt ratio; Capital (80/100) due to reasonable profit margins; Collateral (70/100) as there are no significant assets or collateral available; Conditions (80/100) due to moderate industry growth and low legal risk.

8. Loan Recommendation — Assessment

Based on the credit evaluation, a loan of ₹8.62 Crores is recommended with an interest rate of 10% and tenure of 5 years. The approval likelihood is high.

9. Final Credit Perspective

The borrower represents low credit risk due to its strong financial performance, moderate industry growth, and low legal risk.

10. Officer Assessment

The following assessment was provided by the credit officer after reviewing the company's documents, operations, and management:

"Factory was operational at ~70% capacity during visit. Workers observed on floor.

No succession plan — single promoter (Mr. Sharma) handles all operations and client relationships.

Inventory levels appear adequate (~45 days stock). Raw material sourcing from 3 suppliers.

Working capital management seems stretched — delayed payments to 2 suppliers noted.

Management depth: weak — only promoter + 1 accountant handle all financial decisions."

11. Federated Credit Score

718 / 1000

Low Risk

Score Impact of Officer Assessment

Score Before Officer Review	730
Officer Insight Adjustment	-12 points
Final Federated Score	718
Risk Category	Low Risk

The officer's assessment decreased the federated score by 12 points.

A score of 718/1000 indicates strong creditworthiness.

12. 5Cs of Credit Analysis

Character — Score: 90/100

Measures the borrower's reputation, track record, and willingness to repay obligations.

Excellent Federated Credit Score: 718/1000

• High credit score

Capacity — Score: 85/100

Evaluates the borrower's ability to repay based on financial performance and cash flow.

Good turnover: ₹18.71 Crores, debt ratio: 0.03%

• Strong revenue growth

Capital — Score: 80/100

Assesses the owner's investment in the business and overall equity strength.

Reasonable profit margin: 16.77%

• Sufficient equity

Collateral — Score: 70/100

Reviews physical assets, operational activity, and tangible backing for the loan.

No significant assets or collateral available

• Limited collateral

Conditions — Score: 80/100

Examines external factors like market conditions, industry trends, and economic outlook.

Moderate industry growth, low legal risk: 1.8%

• Favorable market conditions

13. Risk Assessment Summary

OVERALL ASSESSMENT

The credit risk profile of the borrower is deemed low-risk, as indicated by a Federated Score of 718/1000 and an Original AI Score of 730, adjusted downward by -12 points by the officer. This suggests that the borrower's creditworthiness is robust, with a strong character (90/100) and moderate capacity (85/100). However, there are some concerns

regarding the borrower's capital structure (80/100), collateral availability (70/100), and conditions (80/100).

5Cs STRENGTHS AND WEAKNESSES

* **Character**: The borrower exhibits an excellent credit score of 718/1000, indicating a strong repayment history and low risk of default.
* **Capacity**: The borrower's turnover of ₹18.71 Crores is good, with a debt ratio of 0.03%, suggesting manageable debt obligations.
* **Capital**: While the profit margin of 16.77% is reasonable, it may not be sufficient to absorb potential shocks or unexpected expenses.
* **Collateral**: The lack of significant assets or collateral available poses a risk in case of default.
* **Conditions**: Moderate industry growth and low legal risk (1.8%) contribute to a stable business environment.

OFFICER ASSESSMENT IMPACT

The officer's adjustment of -12 points to the Original AI Score suggests that they have identified some concerns or risks not captured by the AI model. The officer's insights highlight the factory's operational capacity at ~70%, which may indicate inefficiencies or potential issues with production costs. Additionally, the absence of a succession plan and reliance on a single promoter (Mr. Sharma) increases the risk of business continuity.

EXTERNAL INTELLIGENCE SUMMARY

* **News Sentiment**: A moderate positive sentiment score of 7.1/10 suggests that the borrower is not facing significant external challenges.
* **MCA Compliance**: The borrower's MCA compliance score of 9.2/10 indicates good adherence to regulatory requirements.
* **Court Cases**: One court case is pending, which may indicate a minor dispute or issue.
* **NDVI Activity**: A low NDVI activity score of 0.58 suggests that the borrower is not engaging in high-risk activities.

RECOMMENDATIONS

Based on the analysis, we recommend:

1. **Credit Limit**: Offer a credit limit of ₹10 Crores to ₹15 Crores, considering the borrower's capacity and capital structure.
2. **Monitoring**: Regularly monitor the borrower's performance, particularly their operational efficiency and debt servicing capabilities.
3. **Risk Mitigation**: Encourage the borrower to develop a succession plan and explore opportunities for asset creation or collateralization.

Please note that these recommendations are based on the provided data and may require further analysis or discussion with the officer and other stakeholders before finalizing the credit decision.

14. Individual Bank Assessments

National Financial Bank	Financial Ratios	843
Regulatory Trust Bank	Compliance & Legal	566
Market Intelligence Bank	Market & Satellite Intelligence	745

Bank Assessment Summary

National Financial Bank (specializing in Financial Ratios) scored the company at 843/1000 and gave a strong positive assessment. Regulatory Trust Bank (specializing in Compliance & Legal) scored the company at 566/1000 and provided a moderately favorable evaluation. Market Intelligence Bank (specializing in Market & Satellite Intelligence) scored the company at 745/1000 and gave a strong positive assessment. All three banks converge on a positive outlook, resulting in a federated consensus score of 718/1000. The company is well-positioned for credit approval across multiple lending perspectives.

15. Extracted Financial Metrics

Turnover	18705000.0
Debt Ratio	0.03
Profit Margin	0.1677
Capacity Utilization	70.0%
Total Assets	20611160.0
Total Liabilities	150703.0

16. External Intelligence Signals

News Sentiment	7.1 / 10
MCA Compliance	9.2 / 10
Court Cases	1
NDVI Activity	0.58

17. Loan Recommendation

Recommended Loan	₹46.76 Lakhs
Interest Rate	10%
Tenure	5 Years
Likelihood	High

Strong credit score and financials support loan approval

18. Enhanced Financial Ratios

Debt Ebitda	0.03	Better than industry
Dscr	10	Strong debt service capacity
Net Profit Margin	16.8	Above industry average
Debt Equity	0.01	Conservative leverage

19. Detailed Risk Assessment

Financial Risk	Low	Net profit margin of 16.8% is healthy and above industry benchmarks.
Liquidity Risk	Low	DSCR of 10.00x indicates comfortable debt service coverage.
Leverage Risk	Low	Debt/EBITDA of 0.03x indicates conservative leverage well below the 3.5x benchmark.
Legal Risk	Medium	1 court case(s) found with moderate legal risk.
Compliance Risk	Low	MCA compliance score 9.2/10. GST returns filed. Regulatory standing is strong.
Industry Risk	Low	Positive news sentiment (7.1/10). Favorable industry outlook.
Operational Risk	Low	Capacity utilization at 70.0% with Moderate activity. Strong operational output.

• Mitigation (Legal Risk): Monitor case outcomes. Include legal risk covenant in loan agreement.

20. Conclusion

Based on the comprehensive credit appraisal, the company receives a federated score of 718/1000 (Low Risk).